

Here is the real “secret”: The chance of success goes up when you think, plan, consistently execute the right things, and worry about the possibility of loss. Operators react and sweat. Owners think and plan.

*“The Road Less Stupid
Advice from the Chairman of the Board”*

By Keith J. Cunningham

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“It is not supposed to be easy. Anyone who finds it easy is stupid.”

*—Charlie Munger, Vice Chairman
Berkshire Hathaway*

I have found in my forty-five year business career that the majority of my losses were a result of:

- Obsessing about Oz (instead of the “yellow brick road”)
- Excessive optimism (aka irrational exuberance)
- Generalizations (which kill clarity)
- Unexamined assumptions (which increases risk)

I frequently relied too heavily on the brilliance of my idea. I did not pay close enough attention to the risks, which created even more risk. I erroneously believed that the higher the risk, the higher the reward, which is just plain stupid. The correct statement is this: The higher the risk, the greater the likelihood of a loss, not a reward.

I mistook luck for skill and extrapolated my past performance as an accurate predictor of my future success. I did not surround myself with smart people who were strong enough to disagree with me.

My fatal flaw was the illusion that I am somehow special and could beat the odds with my sheer determination, desire and sweat. Dumb!

I created this passport of **Thinking Time** questions to encourage you to take time out *weekly* to think and plan. The success you will achieve from building this one muscle will be breathtaking! Now. Go THINK! You will thank me later.



THINKING TIME

1. You get what you tolerate. Nothing can change until the unsaid is spoken. One of my favorite messages to my employees is: "I refuse to lower my standards to accommodate your desire for mediocrity." The only difference between a high-maintenance and a high-performance team is a culture of accountability, measuring, and ownership.
 - **Thinking Time:** If my "Board of Directors" replaced me with a new CEO, what

conversations would the new CEO have with members of my team? Who would get coached? What would the standards be? Who would be replaced?

2. The name of Napoleon Hill's book is *Think and Grow Rich*. It isn't "Use Your Gut and Grow Rich" or "Sit in a Dark Room, Om, and Visualize a Sack Full of Money Dropping on Your Head and Grow Rich" or "Do What You Love and Grow Rich." It's not about touching yourself, closing your eyes, or relying on fantasy economics (which are only effective in fantasies). And it's certainly not a "Secret." It's THINK! (There are no secrets...just stuff you haven't learned yet.)
 - **Thinking Time:** Where am I relying on the rabbit's foot and voodoo economics as a substitute for consistent execution, dashboards, a team of "A" Players and a coherent strategy?
3. Most people, when asked to pinpoint their biggest problem, erroneously identify the "problem" as the gap between where they are and where they would like to be. The gap is not the core underlying problem; it's the *symptom*. The

symptom is what indicates something is wrong, but it does not shed any light on what is causing it to show up or the obstacle that must be overcome to make forward progress.

- **Thinking Time:** What are the real reasons my sales are stagnant, profits are weak or employee turnover is high? Do we have clarity on the obstacle preventing our forward progress and a detailed plan to overcome this problem? Does our resource allocation (people, money, time, intensity) reflect these priorities?
4. Nothing wrong with investing in your brother-in-law's "athletic sock that doubles as a pot-holder" start-up business if you have thought through the assumptions and risks. The reality is that virtually all my dumb tax could have been avoided if I had just questioned a couple of obvious assumptions prior to pulling the trigger.
- **Thinking Time:** Risks don't cease to exist just because I ignore them, and neither do facts. Where have I substituted a story for the facts? An honest assessment of what could go wrong, the probability of it going off the

rails, and the cost (in the event of failure) are fundamental to minimizing the dreaded dumb tax. What are the risks? (All of them!)

5. A change in priorities must always be accompanied by a change in resource allocation. Most solutions (machines) fail to produce the anticipated outcomes because management is unclear about the required shift in focus, time, human capital, and money. A good idea that can't be executed is a bad idea. Said another way, a description of the destination is not a substitute for a road map or consistent execution.
 - **Thinking Time:** What are the clear priorities and resources required to move the needle on these initiatives? Where are we failing to achieve the desired outcome because of poor or inconsistent execution?
6. There's a big difference between winning the "gold medal" as the best plumber in the world (artistic and operational achievement) and winning the "gold medal" of making \$1,000,000/year of bottom line profit as the Owner of a plumbing business (business success). Few things are more common than unrewarded

artistic and technical expertise. Believing passion and operational excellence will trump business acumen and risk assessment is a guaranteed prescription for a breathtaking dumb tax. Business success requires business skills and tools.

- **Thinking Time:** If my business could talk, what would it say? What, specifically, have I been ignoring about my business and what specifically needs to be corrected? What skills/resources do I need to help me overcome the obstacles that are restricting my growth, sales, and profitability?
7. Culture is not “values” or mission statements; those are slogans, not disciplines. Culture is how we treat each other, how we talk to each other, whether or not we trust each other, and how we handle conflict. Culture is about accountability, measuring, a bias for urgency, a focus on solutions, calling it tight, being kind and generous, and expressing appreciation.
- **Thinking Time:** What would our culture need to look like if we were to become the “employer of choice”? What are our cultural deficiencies that are preventing us from being high

performance versus high maintenance?
Where have we allowed perks to become a
substitute for caring about each other?

8. The primary reason most goals are never achieved, and most budgets rarely met is because they are hollow, generalized statements of hope and not rigorous, nonnegotiable, measurable standards, plans, and critical drivers. Generalizations kill clarity. Clarity equals power. Power is the ability to act. Whenever there is an absence of progress or weak, ineffective action, it is usually a result of a fluffy, glossy, generalized rah-rah “vision statement” versus a quantifiable, specific measurable plan. Edward Deming (the godfather of quality and process management) put it this way: “If you can’t describe the plan or the process to achieve that plan, you don’t know what you are doing.” Smart man.

- **Thinking Time:** How do I need to rework our plans and budgets to make them specific, granular and measurable? What are the specific activities and milestones we must hit to stay on track with our stated deliverables?

Who, specifically, is accountable and responsible for achieving each outcome?
How will that be measured?

9. The players on your team are responsible for the bulk of your leverage and ultimate success. All “A” players have six common characteristics:

1. They have a scoreboard that tells them if they are winning or losing.
2. They have a high internal, emotional need to succeed.
3. They love to be challenged, tested, measured and held accountable for their results.
4. They have the technical chops to do the job.
5. They are humble enough to ask for coaching.
6. They see opportunities, not problems.

- **Thinking Time:** How many of our challenges and problems would be solved if my team consisted of only “A” Players? What am I going to do about it?

10. Successful business *owners* play the game with their heads, not their emotions. They win at business because they do not rely on being emotionally jacked up on hope, excitement, and

a naive conviction that if they are just certain enough, they can achieve their dreams through sheer willpower, passion, and belief.

Here is the real “secret”: The chance of success goes up when you think, plan, consistently execute the right things, and worry about the possibility of loss. Operators react and sweat. Owners think and plan.

- **Thinking Time:** Where am I allowing my desire for certainty, yearning to win, dream of being famous or need to be right be a substitute for a detailed realistic plan, business acumen, minimizing risk and consistent execution? Where am I allowing my “vision statement” to be a substitute for a detailed, executable plan?

II. The root of most (if not) all my problems is the need for instant gratification. Faulty expectations coupled with unrealistic time frames kill dreams. We self-sabotage when we look for the one massive thing that can instantaneously produce massive results. We tend to want to get from “here” to “there” in fifteen minutes—no fuss, no muss, no sweat.... Dumb! Ordinary things, consistently done, produce extraordinary results.

- **Thinking Time:** I might not have the final “Holy Grail” solution to all my problems, but what are five things I can do immediately to improve my situation? Where am I inconsistently executing the right thing? Where am I consistently executing the wrong thing? Where is the intensity of my performance substandard (pathetic)?

12. The big guys seem to have all the advantages: resources, money, people, brand, marketing... you name it. They also have legacy costs, expensive infrastructure, and a bias for protecting the status quo, which makes change very difficult, painful, and unpopular. The only things “small” have going for it are flexibility and intimacy of relationships.

- **Thinking Time:** Where have I allowed my business to abandon the advantages of being small? Where have I encouraged/tolerated systems and standardization as a substitute for intimacy and relationships? What are the things we should be doing if I wasn't so afraid of losing?

13. As business owners, we are always on the prowl for more customers, more growth, and more revenue. Unfortunately, this quest usually begins and ends with a tactical solution. The key is to start with four strategic questions to get you thinking about growth in a more productive way. Once the strategic part (what) is handled, the tactics (how) become easier to prioritize. The results will speak for themselves.

- **Thinking Time:** Who do I want to buy from me? What must happen to cause them to buy? What must happen to keep them coming back? What could happen to cause them not to buy? (P.S. If you spend less than ten hours on these four questions, you have missed the point!)

14. Success breeds complacency. And of course, the corollary is equally true: Rust never sleeps. An obsession with finding and fixing problems does not produce excellence... but finding, fixing and keeping them fixed, does. It's analogous to being the race car driver who obsesses about tight lug nuts on the wheels vs. tight lug nuts on the wheels that stay tight—two different

problems that require very different solutions. Keeping the lug nuts tight is a cultural issue, not a systems problem. A culture that loses focus on training, has an unwillingness to measure, and has an aversion to holding people accountable will always result in lost productivity and loose lug nuts.

- **Thinking Time:** Where do our lug nuts tend to get loose when we are stressed or near capacity? What problems are we repeatedly solving (or are remaining unsolved)? Where (exactly) has the culture of training, accountability, and ownership been sabotaged by an obsession with fixing the problems instead of keeping the problems fixed?

15. *“The Master in the art of living makes little distinction between his work and his play, his labor and his leisure, his mind and his body, his information and his recreation, his love and his religion. He hardly knows which is which. He simply pursues his vision of excellence at whatever he does, leaving others to decide whether he is working or playing. To him he’s always doing both.”* — James Michener

The key to mastering the art of living starts with defining your “vision of excellence”! There is a big difference between success and excellence. Success is getting there. Excellence is staying there.

- **Thinking Time:** What is my vision of excellence? Where is my level of engagement and intensity of focus inconsistent with that vision and the outcomes I desire? Where have I over prioritized success (getting there) and therefore, missed the distinction of excellence (staying there)?

16. The success of all strategies ultimately depends on execution. You can have the greatest strategy in the world, but if the strategy is not consistently executed, it will fail. Obviously, a poor strategy perfectly executed will also fail. My experience is that most people don't have what they want in their lives because they consistently select solutions they either cannot or will not consistently execute. A solution that is misaligned with the requisite skills/resources coupled with erratic execution, fails.

- **Thinking Time:** Is the strategy we currently have not working because it is a strategy we are not consistently executing or is it a bad strategy? Where have I built a strategy that we simply cannot (or will not) execute?

17. The one trick pony the “something for nothing, instant success” business gurus continually trot out to justify their obsession with “systems” is McDonald’s. Their theory goes like this: McDonald’s is extremely successful; McDonald’s has extreme systems; ergo, if you want extreme business success, systematize your business to such an extent that it virtually runs itself; allowing you to leave it for months at a time and things would not be much better or much worse when you got back. This makes as much sense as duplicating the reserved employee parking policy at Amazon with the intergalactically stupid belief that by doing so you will replicate Amazon’s success. Systems are great at draining an organization of passion and flexibility. Use them carefully or you will pay a very heavy dumb tax...The only constant in business is change.... Systems abhor change! And, if you decide to leave your business for months at a time, do yourself a favor and

hire your replacement before your trip. Every business needs an engaged leader.

- **Thinking Time:** Where have I allowed our “systems” and way of doing things to become more important than the customer and her outcomes?

18. The problem with most growth initiatives is the old thing requires a manual “hand-crank” to keep it operating. Hand-crank businesses (low leverage, no machine, “C” players) consume resources and are difficult to profitably scale. A requirement of consistent growth is having the engine (machine), “A” players and dashboards in place to *maintain* the old thing while the new thing is being created, fertilized and cranked. In other words, the lug nuts on the old thing must be tight *and* be kept tight if the expectation is for the new thing to produce incremental growth. Pouring gasoline into a hand-crank business does not produce progress; it starts fires.

- **Thinking Time:** When I look back at the last few years, where have we made the mistake of adding “new” without simultaneously protect-

ing the “old”? Where is our foundation wobbly or unstable in light of the growth we would like to achieve?

19. Your success will have very little to do with *what* you do and everything to do with *how* you do it. Ideas are a dime a dozen. It’s why an inventor’s royalty or license fees from a patent are rarely worth more than a token 1–2% of revenue. The juice is in knowing *how* to execute on that idea, *how* to differentiate it from the competition, *how* to deliver it, and *how* to monetize it. We tend to obsess about our passion for our product and the coolness of what we have created instead of doing the heavy lifting to find the pent-up demand, massive customer frustrations, or serious points of pain in the market and then building a product that meets these needs. Instead of falling in love with our products, we would all be more successful if we fell in love with our customers and their outcomes!

- **Thinking Time:** Where have we let an obsession with our passion get in the way of an outward focus of finding the group of customers who have a problem I can

solve? Where is the red-hot searing pain or frustration in the market and what are we doing to address that problem?

20. Business owners and management teams seem to obsess about exit strategy. The reason so many businesses fail to sell (>60%) and many of the remainder struggle to find a buyer (or are sold for a far lower price than expected) is not for a lack of an “exit strategy”. They all had a strategy; unfortunately, they did not have an “exitable” business. The thinking should be reoriented to creation of a *sustainable business that minimizes risks*. Do that, and the business is exitable, regardless of the strategy. The greater the predictability and sustainability of the future stream of earnings, the greater the enterprise value and, thus, the more attractive it is to a buyer. Said another way: The things that can go wrong are the saboteurs of any exit, regardless of the strategy.

- **Thinking Time:** What could disrupt our future stream of revenue, customer acquisition, repeat business, or referrals? If someone offered me an opportunity to buy my business,

what price would I pay? What can I do to increase that number by 50% in the next twelve months?

21. Most business owners and entrepreneurs experience a major shock when confronted with the advice and counsel of a true Board of Directors. A Board does not care how optimistic you are, how passionate you are or whether or not your product is your life's purpose. A great Board knows that exciting stories, excessive certainty, inclusion on the Inc. 500, first-mover advantage, Entrepreneur of the Year awards, and projected hockey stick returns are the breakfast of the membership director at a college frat house, not a seasoned CEO. Check your medals and ego at the door. Business is personal, but not emotional.

- **Thinking Time:** Where have we substituted optimism for clarity and risk assessment in our business and thinking? What assumptions have I made about our future that might not be true, and if they ultimately proved to be untrue, what contingency plans do I need to develop today to ensure survival if I am wrong?

22. Doubling the horsepower of the engine in your car or substituting rocket fuel for your unleaded gas will not enable the car to go two times faster. Scaling mediocrity produces bigger piles of mediocrity, not success. Optimize first. Contrary to popular opinion, the solution to most business problems has little to do with the size of the top line. Growth is what you say “yes” to. Success is what you say “no” to. The hardest thing in business is figuring out what to say “no” to. Warren Buffett said it best: “The difference between successful people and very successful people is that very successful people say no to almost everything.”

- **Thinking Time:** When I take a hard look at my expansion and growth plans, where have we spread ourselves too thin by attempting to do too much with too little? Which activities or initiatives need to be stopped or paused so that we can concentrate on the most critical strategies and stabilize/optimize our business?

23. A Board of Directors is neither a cheerleader nor a critic. Board members are “partners” and collaborators in designing success. A Board acts as an advisor and counselor for a CEO. Board members poke, ask questions, and prod as they look for icebergs, unexamined assumptions, and wishful thinking... A plan that requires you to dodge all the bullets is not a plan, it’s a hallucination. A Board knows that what kills the business is not missing an opportunity but rather unseen risks.

- **Thinking Time:** Who do I have around me that I can count on to question my assumptions and ask me the tough questions? Who will tell me what I don’t want to hear? Who do I have on my team that will tell me “no”?

About Keith

American entrepreneur, international speaker, and acclaimed author, Keith J. Cunningham is regarded as one of the foremost authorities and teachers on business mastery. With more than forty-five years of business and investing experience, Keith has taught critical business skills to thousands of top executives, leadership teams and business owners around the world.

In Keith's Keys to the Vault® Business School, he has created curriculum designed to accelerate your financial performance and success. Through his Board of Directors program, he serves as "Chairman of the Board" for businesses in a wide range of sizes and industries.

Keith is the author of three best-selling books: ***Keys to the Vault: Lessons from the Pros on Raising Money and Igniting your Business...The Ultimate Blueprint for an Insanely Successful Business...The Road Less Stupid: Advice from the Chairman of the Board***

GROWTH OPPORTUNITIES: Support, Coaching and Learning

For more information or to enroll in learning from Keith, please email info@keystothevault.com or call us at 512.231.9944.

CFO Scoreboard

The single most powerful business optics and financial metrics tool available... it does for you what blood tests and MRIs do for doctors... look under the hood to find the real problems that are silently sabotaging your business' profitability and cash flow. CFO Scoreboard converts your accounting financial statements into plain English, organizes the information in an efficient way and calculates the most critical financial metrics/KPIs on your business every month, every quarter, every year. We diagnose the core problem areas where the trend is going the wrong direction, highlight the problems in **red** and suggest strategies to immediately correct the problem. This is the tool for non-accounting, non-financial business owners who require a serious competitive advantage.

www.CFOScoreboard.com

4-Day MBA®: A four-day business course in which I answer the most frequent question I receive: “Keith, how do I grow my business and make more money?” Regardless of where I teach, business owners tell me they feel like they have a job, not a business. They tell me their business is running them, when they should be running their business. In the 4-Day MBA® you will learn the most critical skills and tools required to run the business end of your business, transition from “operator” to “owner,” and convert your “job” into a business that has lasting value. A critical part of owner skills is financial literacy and mastering the fundamentals of business and financial optics. Of course, growth is the other half of the equation... The 4 Day MBA® has a heavy focus on what is really required to sustainably grow any business... It is not what you think it is.

How to Buy (or Exit) a Business®: A four-day classroom program focusing on value and value creation from an investor’s point of view. It is the “Investor Hat” that is required to recognize and optimize value.

The four critical business strategies you learn at How to Buy (or Exit) a Business® are:

1. Optimizing your exitability.
2. Maximizing your exit value.
3. Growth by acquisition.
4. Acquisition/selling strategies and fundamentals.

For current business owners who attend the course, the theme is: How can I run my business like I will own it forever but could sell it tomorrow? What makes an acquisition opportunity attractive (from either the buy or sell side)? Some people would like to own a business but want to avoid the hard work, uncertainty, and risk associated with a start-up. Others are current business owners who would like to expand via acquisition. How to find good companies for sale (or buyers in the market), how to locate and work with a broker, specific questions to ask the seller, the importance of (and how to) earn the seller's trust and confidence, who must be on your team to navigate a transaction, how to evaluate and perform the due diligence, how to value/price the business, how to raise the money, deal structures and calculate the purchase price are all included.

Students receive a comprehensive “how-to” reference manual, in addition to working on real-life examples in the classroom.

Plan or Get Slaughtered®: A two-day classroom program that focuses exclusively on establishing the priorities, resources and plan to successfully drive revenue. Most business owners have had the experience of revenue hitting an invisible ceiling. You have a “goal” of increasing revenue by 10 or 25 or 50 percent but lack an actual plan to produce the desired growth. This course teaches the strategic and tactical growth strategies/levers required to achieve the growth and gives you classroom Thinking Time to do the critical planning for your business. (Many attendees bring their entire leadership team to this one... Creating next year’s plan as a team has tremendous value and synergy!)

Board of Directors: As business owners, we tend to be astonishingly optimistic in our thinking and planning. We rarely question our assumptions, nor do we have experienced business advisors watching our progress or providing us with coaching/feedback. As a result, we commit the most fatal of mistakes: Running in the wrong direction enthusiastically.

The Board of Directors is an exclusive (by application -invitation only), twelve-month program in which fifteen entrepreneurs and business owners—who are actually in business, have revenue, and are “doing it”—meet with Keith three times per year for three days per meeting. Keith serves as Chairman of the Board. As a Board member, you have access to Keith between Board Meetings for additional support, as needed.

Having a Board of Directors who will advise, counsel, direct, question, monitor execution, provide accountability, review monthly and quarterly financial statements, review and test your annual plan, and offer optics—both opportunities and icebergs—is critical if you expect to achieve your goals for the business and generate new strategies to build, grow, market, expand, and diversify your company.

Private One-on-One Consulting: Business owners, management teams, and entrepreneurs who require private, one-on-one personal advice and consulting can customize time with me. Private Consulting can range from face-to-face half or full days, to 1.5 hour telephone consultations on a monthly or quarterly rhythm spread out over six to twelve months. Having access to a private advisor is an exceptionally powerful way to leverage your time and accelerate your results.

Summary: If you recognize the power of learning from a master and are prepared to do the work required to deserve the success you desire... If you have finally given up on voodoo economics, shiny pennies, magic bullets and something for nothing fast-buck schemes... If you know there is a gap in your business skills and tools... If you are committed to transitioning from Operator to Owner and maximizing the potential of your business, I encourage you to:

- 🔑 Invest in yourself (which is the key to growth).
- 🔑 Learn the critical distinctions so you can create better choices (which is the key to a better life).
- 🔑 Do whatever it takes to create excellence, mastery, and contribution (which are the keys to fulfillment).

If you're looking for answers and clarity, I can help.

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